



THE CHARTERED INSURANCE INSTITUTE

ADVANCED DIPLOMA

OCTOBER 2010 EXAMINATION PAPER

**UNIT 556
LIFE AND DISABILITY CLAIMS**

INSTRUCTIONS

- Three hours are allowed for this paper.
- Fill in the information requested on the answer booklet and on form B.
- You are allowed to write on the inside pages of this question paper but you must **NOT** write your name, candidate number, PIN or any other identification anywhere on this question paper.
- **The answer booklet and this question paper must be handed in personally by you to the invigilator before you leave the examination. Failure to do this may result in your paper not being marked and you may be prevented from entering this examination in future.**

READ THE INSTRUCTIONS OVERLEAF CAREFULLY BEFORE ANSWERING ANY QUESTIONS.

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556 – Life and disability claims

CANDIDATE INSTRUCTIONS

READ THE INSTRUCTIONS BELOW BEFORE ANSWERING ANY QUESTIONS.

Three hours are allowed for this paper. You should answer all questions in Part I, the compulsory question in Part II and three out of the five questions in Part III.

The paper carries a total of 200 marks, as follows:

Part I	8 compulsory questions	48 marks
Part II	1 compulsory question	50 marks
Part III	3 questions selected from 5	102 marks

You are advised to spend no more than 45 minutes on Part I.

Answer each question on a new page. If a question has more than one part, leave several lines blank after each part.

It is important to show each step in any calculation, even if you have used a calculator.

You may find it helpful in some places to make rough notes in the answer booklet. If you do this, you should cross through these notes before you hand in the booklet.

PART I

**Answer ALL questions in Part I.
Each question is worth six marks.**

Note form is acceptable where this conveys all the necessary information.

1. State **three** of the core principles of the Data Protection Act 1998. (6)

2. (a) Describe briefly what myelin is. (2)
(b) Explain briefly what happens to myelin in an individual with multiple sclerosis. (4)

3. Describe briefly the key features of an 'on account' payment. (6)

4. (a) State what a disabled life reserve is. (2)
(b) Explain briefly how you would calculate the disabled life reserve for an income protection claimant receiving £1,000 per month, where the expected duration of the claim is two years. (4)

5. Explain briefly the differences between a policy that is 'paid-up' and a policy that is 'lapsed'. (6)

6. Explain briefly how mental impairment is typically defined under the provisions of a long-term care contract. (6)

7. Give **six** reasons why an insurer might choose to instruct a home visit when assessing an income protection claim. (6)

- 8.** Describe briefly why insurers use Activities of Daily Work and how they assess whether this definition is satisfied in the event of a claim. **(6)**

PART II

Compulsory question.
This question is worth 50 marks.

- 9.** Mr Wheeler is a 49-year-old employed salesman.

He holds income protection policies with EZY Life Insurance and Hard Life Assurance.

He has recently notified both insurers that he has been unable to work since April 2010 due to a back condition.

Review the information provided in the tables on page 7 and then answer the questions below.

- (a)** Outline how you would assess the medical validity of a claim under each policy. **(25)**
- (b)** Assuming the claim is medically valid, explain how benefit payments would be calculated. **(15)**
- (c)** Assuming the claim is in payment, outline the ways in which a vocational assessment could be useful in respect of this claimant. **(10)**

	Policy 1	Policy 2
Company	EZY Life Insurance	Hard Life Assurance
Start date	10 January 2005	14 December 2008
Benefit	£9,000 per annum	£15,000 per annum
Deferred period	Six months	Three months
Definition of disability	Inability to perform the occupation of 'salesman'. After two years of benefit payments the definition changes to 'any occupation to which he is reasonably suited by education, experience or training.'	Inability to perform the occupation described on the application form, or any new occupation, but only if that occupation has been notified and agreed by our underwriters.
Limitation of benefit (same applies to both policies)	50% of the claimant's pre-disability earnings less: • any continuing income; • any state benefits to which entitled; • pension payments; • any other insurances.	
Expiry age	Age 55	Age 60
Application date	2 January 2005	1 December 2008
Application disclosures	Salesman – selling cleaning products – shop based.	Sales manager – non-manual, office based, no driving.

Claim form – dated 30 September 2010	
Date of disability	10 April 2010
Nature of disability	Back injury – unable to drive or lift.
Financial position pre-disability	Basic salary £50,000 (P60 to April 2010 attached confirming this figure).
Financial position post disability	Full pay for six months. Thereafter the claimant will only receive ongoing commission payments in respect of work that he undertook prior to disability, anticipated to be a total of £6,000 in the period April 2010 to April 2011.
Employment history	1980 – 2000 Primary school teacher. 2000 – 2006 Salesman – selling cleaning products – shop based. 2006 – 2009 Sales manager – non-manual, office based, no driving. 2009 – Present. Promoted to regional manager – driving circa 36,000 miles per annum. Job involves manual handling and lifting of samples that he travels with.
State benefits	Not yet submitted a claim – aware that he is entitled to state benefits of approximately £7,000 per annum.

PART III

**Answer THREE of the following FIVE questions.
Each question is worth 34 marks.**

- 10.** In respect of an income protection claim, analyse the content and purpose of:
- (a)** a notification period; (20)
 - (b)** a deferred period. (14)
- 11. (a)** State the Association of British Insurers' definition of 'coma'. (8)
- (b)** Provide an overview of this condition and describe the factors you would need to take into account when determining the validity of a critical illness claim for this condition. (26)
- 12.** Explain how vocational rehabilitation is undertaken and analyse the various ways it can be utilised to assist an income protection claimant in returning to work. (34)
- 13. (a)** Explain how a claims assessor should determine the types and extent of evidence required to assess a death claim. (26)
- (b)** You are a claims assessor, assessing a death claim that has arisen in the first month of a policy being in force where the insured has died in a road traffic collision. Identify the evidence that it would be appropriate for you to request:
- (i)** where it has been confirmed that the insured was in no way responsible for the collision; (4)
 - (ii)** where it is confirmed that the insured had a heart attack at the wheel and this was the cause of the collision. (4)

- 14.** A policyholder has a critical illness (CI) policy with your company for £100,000, which commenced in 2008. This policy also contains waiver of premium insurance with a deferred period of three months, if the claimant is unable to perform his own occupation.

You are notified that the policyholder wants to submit a CI claim as he has recently been diagnosed with a brain tumour.

Draft a letter setting out the policy provisions under which he may be able to claim.

(34)